

# ECONOMICS

**Time: 3 Hours**

**Max. Marks: 80**

**Note:**

- (1) All questions are compulsory.
- (2) Draw neat tables/diagrams wherever necessary.
- (3) Figures to the right indicate full marks.
- (4) Write answers to all main questions on new pages.

**Q.1. (A) Fill in the blanks using appropriate alternatives given in the brackets: (5)[16]**

- (1) Micro economics is a \_\_\_\_\_ equilibrium approach.  
(partial / general / total / multi-variable)
- (2) Income elasticity of demand for inferior goods is \_\_\_\_\_.  
(positive / negative / zero / greater than one)
- (3) Investment made by the government is \_\_\_\_\_ investment.  
(Induced / autonomous / gross / unplanned)
- (4) \_\_\_\_\_ is a primary function of commercial banks.  
(Purchasing and selling securities / Accepting deposits / Safe deposit vault / Letter of credit)
- (5) When the government's revenue exceeds government's expenditure, it is known as \_\_\_\_\_ budget.  
(surplus / balanced / deficit / unbalanced)

**(B) Match the words from the following groups 'A' and 'B' correctly: (5)**

|    | Group 'A'                |    | Group 'B'               |
|----|--------------------------|----|-------------------------|
| a. | Pen and ink              | 1. | Factor cost method      |
| b. | Perfectly elastic supply | 2. | Profit                  |
| c. | Reward of entrepreneur   | 3. | Joint demand            |
| d. | Income method            | 4. | Interest                |
| e. | Credit control           | 5. | Horizontal supply curve |
|    |                          | 6. | Commercial bank         |
|    |                          | 7. | Vertical supply curve   |
|    |                          | 8. | Central bank            |

**(C) State whether the following statements are True or False: (6)**

- (1) Demand for luxurious goods is elastic.
- (2) Supply is indirectly related to price.
- (3) Under perfect competition products are not homogeneous.
- (4) Estimation of national income is possible with the help of money.
- (5) Commercial banks are the backbone of modern economy.
- (6) Central bank does not act as a lender of last resort for the commercial banks.

**Q.2. (A) Define 'or' explain the following concepts (Any THREE): (6)[12]**

- (1) Micro economics
- (2) Marginal cost
- (3) Natural monopoly
- (4) Entrepreneur
- (5) General equilibrium
- (6) Clearing house

**(B) Give reasons 'or' explain the following statements (Any THREE):** **(6)**

- (1) Micro economics is also known as price theory.
- (2) Utility is ethically neutral.
- (3) Demand for necessary goods is inelastic.
- (4) Old age pension is transfer income.
- (5) Saving is the function of income.
- (6) As a banker to the government the central bank transfers government funds.

**Q.3. (A) Distinguish between the following terms (Any THREE):** **(6)[12]**

- (1) Individual demand and Market demand.
- (2) Extension in supply and Contraction in supply.
- (3) Slicing method and Lumping method.
- (4) Personal income and Personal disposable income.
- (5) Full bodied coins and Token coins.
- (6) Direct tax and Indirect tax.

**(B) Write short notes (Any TWO):** **(6)**

- (1) Importance of micro economics.
- (2) Geometric method of measuring price elasticity of demand.
- (3) Features of pure competition.
- (4) Qualities of an entrepreneur.

**Q.4. Answer the following questions (Any THREE):** **[12]**

- (1) Explain the 'law of diminishing marginal utility'.
- (2) Explain the features of monopolistic competition.
- (3) Explain the scope and subject matter of macro economics.
- (4) Explain the subjective factor influencing consumption function.
- (5) Explain the various types of loans.
- (6) Explain capital receipts and capital expenditure as a part of capital budget.

**Q.5. State with reasons whether you 'agree' or 'disagree' with the following statements (Any THREE):** **[12]**

- (1) There are many features of utility.
- (2) Many factors influence the demand for a commodity.
- (3) There are no exceptions to the law of supply.
- (4) There are many secondary functions of money.
- (5) Commercial banks perform many general utility services.
- (6) Central bank does not act as bankers' bank.

**Q.6. Write explanatory answers (Any TWO):** **[16]**

- (1) Explain the 'law of demand' with its assumptions.
- (2) What is 'elasticity of demand'? Explain the type of elasticity of demand.
- (3) What is 'national income'? Explain the theoretical difficulties involved in estimation of national income.
- (4) What is 'aggregate supply'? Explain the factors determining of aggregate supply.